Gujarat, attributes 65 suicides over the past two years to the financial crisis in the industry. In mid-June, the union launched a 24x7 suicide helpline to counsel and assist artisans facing financial distress. It has received over 2,000 calls so far. The industry employs 800,000 artisans in Gujarat.

"The industry is undergoing a turbulent time, and one of the major factors is the disruption of demand and supply. Demand has shrunk so much that, despite war sanctions limiting the supply of rough diamonds from Russian miner Alrosa—which used to account for at least a third of all rough diamonds—supply still exceeds demand," says Vipul Shah, chairman, Gem and Jewellery Export Promotion Council (GJEPC). He adds that demand in West Asia is also low due to conflicts in the region, while high interest rates have kept the US market sluggish. "But the domestic [Indian] market remains very positive," he says. Acknowledging the impact on small traders, polishers and artisans, Shah warns that if difficult decisions [such as reducing manhours to control supply] are not made now, the "damage will be much larger".

So severe was the glut that between October and December 2023, the GJEPC advised a freeze on rough diamond imports. Imports resumed in January this year, but inventory had stockpiled so high that by May, a clampdown on polishing activity had to be imposed. Traders are now keen to invest in marketing to rebuild demand, Shah adds.



"SINCE THE ENTRY BARRIER [OF LGD] WAS LOW, MORE GROWERS ENTERED THE MARKET AND PRICE WAS THE ONLY FACTOR TO COMPETE. SO, THE WHOLESALE PRICES TANKED, WHICH WE WERE PREPARED FOR"

POOJA SHETH MADHAVAN
Founder & Managing Director, Limelight Diamonds

Meanwhile, 90 per cent of small operators have shifted to trading or polishing LGDs, according to Shashikant Shah, the chairperson of the Lab Grown Diamond & Jewellery Promotion Council. "Currently, India has around 40 manufacturing companies with 12,000-14,000 LGD machines. There is demand, and the industry has the potential to reach 25,000 machines in the next five years. The natural diamond trade is subject to too many geopolitical and climatic uncertainties, making their cost price unpredictable, whereas in LGD, our cost price is fixed. This gives the product stability," he says.

THE LURE OF THE LGDs

LGDs emerged as a viable alternative to naturally mined diamonds around 2018 when traders and jewellers began accepting that the stones were identical in composition to natural diamonds. Initially, LGDs were priced at 40 per cent of natural diamonds and were dismissed by industry veterans as a fad that would die down without denting the centuries-old natural diamond industry.

"As natural diamond prices have fallen, consumers no longer perceive it as an asset class or store of value," says Pooja Sheth Madhavan, founder

SURESH SOLANKI, *30*
Diamond polisher

Once earning Rs 60,000 a month, he has been working as a day labourer doing odd jobs for the past six months, making just Rs 300 a day

"Earlier, I would polish 60 diamonds a day. The numbers gradually dropped to 20, six months ago. Now we are called in only five days in a month"



PIYUSH PATEL